October 23, 2026

Arohan Financial Services Limited: Rating confirmed as final for PTCs backed by microfinance loan receivables issued by Ascent Alpha April 2026

Summary of rating action

Trust Name	Instrument*	Current Rated Amount (Rs. crore)	Rating Action	Financial sector regulator#
Ascent Alpha April 2026	Series A1 PTCs	133.68	[ICRA]AA+(SO); provisional rating confirmed as final	RBI

**Instrument details are provided in Annexure I*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

In May 2026, ICRA had assigned provisional rating to Pass-Through Certificates (PTCs) issued by Ascent Alpha April 2026 under a securitisation transaction originated by Arohan Financial Services Limited {Arohan/Originator; rated [ICRA]A (Stable)[1]}. The PTCs are backed by a pool of microfinance loan receivables originated by Arohan with an aggregate principal outstanding of Rs. 152.78 crore (pool receivables of Rs. 180.60 crore). Arohan is also the servicer of the rated transaction.

Further, since the executed transaction documents are in line with the rating conditions and the legal opinion for the transaction has been provided to ICRA, the said rating has now been confirmed as final.

Pool performance summary

Parameter	Ascent Alpha April 2026
Payout month	September 2026
Months post securitisation	4
Pool amortisation	27.9%
Series A1 PTCs amortisation	31.9%
Cumulative prepayment rate[2]	5.7%
Cumulative collection efficiency[3]	98.0%
Loss cum 0+ dpd[4]	3.9%
Loss cum 30+ dpd[5]	0.4%
Loss cum 90+ dpd[6]	0.1%
Cumulative cash collateral utilisation	0.0%

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions*

[2] *Principal outstanding at the time of prepayment of contracts prepaid till date / Principal outstanding on the pool at the time of securitisation*

[3] *Cumulative collections (incl. advances but excl. prepayments)/ (Cumulative billings + Opening overdue at the time of securitisation)*

[4] *Principal outstanding on contracts aged 0+ dpd / Principal outstanding on the pool at the time of securitisation*

[5] *Principal outstanding on contracts aged 30+ dpd / Principal outstanding on the pool at the time of securitisation*

[6] *Principal outstanding on contracts aged 90+ dpd / Principal outstanding on the pool at the time of securitisation*

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus EIS, after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. However, on the occurrence of predefined trigger events such as 90+DPD of the pool crossing 4.0% of original pool principal in any payout month, the residual EIS every month shall be utilised for accelerating the principal payment due to Series A1 PTCs. Furthermore, on the occurrence of predefined EIS claw-back events such as 90+DPD of the pool crossing 8% of original pool principal in any payout month, the cumulative excess cash flows will be clawed back from originator and transferred to PTC investor towards early redemption of PTC principal. Any prepayment in the pool would be used for the prepayment of Series A1 PTCs.

The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 9.38% of the initial pool principal, amounting to Rs. 14.32 crore, to be provided by the Originator, (ii) principal subordination of 12.50% of the initial pool principal for Series A1 PTCs in the form of over-collateralisation (OC) (iii) the excess interest spread (EIS) of 13.23% of the initial pool principal for Series A1 PTCs respectively.

Key rating drivers and their description

Credit strengths

Granular pool with available credit enhancement – The pool is granular, consisting of 45,900 contracts, with top 10 borrowers forming less than 0.05% of the pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of the CC, subordination and EIS would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

Seasoned contracts in the pool – The pool has weighted average pre securitisation amortisation of 24.25% as on the cut-off date with no delinquencies observed in any of the contracts, post loan disbursement, thereby reflecting the borrowers' relatively better credit profile.

No overdue contracts in the pool –The pool has been filtered in such a manner that there are no overdue contracts as on the cut-off date. Further, all the contracts in the pool have never been delinquent post loan disbursement, thereby reflecting the borrowers' relatively better credit profile, which is a credit positive.

Adequate servicing capability of Arohan – The company has adequate processes for servicing of the loan accounts in the securitised pool. It has demonstrated a considerable track record of over a decade of regular collections across geographies and multiple economic cycles.

Credit challenges

High geographical concentration – The pool has high geographical concentration with the top 3 states, viz. West Bengal, Assam and Bihar contributing ~62% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Higher vulnerabilities associated with microfinance sector – In the past, the microfinance sector has seen lower collections and elevated delinquencies on account of borrower overleveraging and attrition in collection teams. However, portfolio collections have been improving and are higher for the post guardrail book which is an added comfort.

Risks associated with lending business – The pool's performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans. The performance of microfinance loans would also be exposed to political and communal risks.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 4.00% with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 3.0% to 9.0% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transactions are as follows:

Transaction Name	Ascent Alpha April 2026
Originator	Arohan Financial Services Limited
Servicer	Arohan Financial Services Limited
Trustee	Catalyst Trusteeship Limited (CTL)
CC Bank	HSBC Bank
Collection and payout account bank	HSBC Bank

Liquidity position:

Series A1 PTCs: Superior

The liquidity for Series A1 PTCs is superior after factoring in the credit enhancement available to meet the promised payout to the investor. The total credit enhancement would be ~7.50 times the estimated loss in the pool.

Rating sensitivities

Positive factors – The sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a rating upgrade.

Negative factors – The sustained weak collection performance of the underlying pool of contracts (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer could also exert pressure on the rating.

Analytical approach

The rating action is based on the trustee confirming compliance with the terms of the transaction and the executed transaction documents being in line with the terms initially shared with ICRA.

Analytical Approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not Applicable
Consolidation/Standalone	Not Applicable

About the originator

Arohan Financial Services Limited (Arohan) is a Kolkata-headquartered non-banking financial company –microfinance institution (NBFC-MFI). It was incorporated on September 27, 1991. Arohan is engaged in the business of microlending, mainly to women borrowers, and operates on the joint liability group (JLG) model. It was set up through the acquisition of an existing NBFC, ANG Resources Ltd, with the support of Bellwether Microfinance Fund. The company's name was changed to Arohan Financial Services Limited in March 2008. Arohan became a part of the Aavishkar Group in September 2012. As on June 30, 2026, it was managing assets under management (AUM) of ~Rs. 7,669 crore.

Key financial indicators

Arohan Financial Services Limited	FY2025	FY2026	Q1FY2027
As per	Ind-AS	Ind-AS	Ind-AS
Total income	1,695	1,552	479
Profit after tax	110	122	105
Total managed assets (grossed up for provisions)	7,228	8,639	8,799
Gross stage 3 assets	2.8%	1.1%	0.9%
CRAR	34.1%	27.6%	26.2%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amounts in Rs crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust Name	Current Rating (FY2027)					Chronology of Rating History for the Past 3 Years		
	Instrument	Initial Rated Amount (Rs. crore)	Current Rated Amount (Rs. crore)	Date & Rating in FY2027		Date & Rating in FY2026	Date & Rating in FY2025	Date & Rating in FY2024
				October 23, 2026	May 18, 2026	-	-	-
Ascent Alpha April 2026	Series A1 PTCs	133.68	133.68	**[ICRA]AA+(SO)**	Provisional [ICRA]AA+(SO)	-	-	-

Complexity level of the rated instrument

Instrument	Complexity Indicator
Series A1 PTCs	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click Here

Annexure I: Instrument details

Trust Name	Instrument Type	Date of Issuance / Sanction	Coupon Rate (p.a.p.m.)	Maturity Date	Current Amount Rated (Rs. crore)	Current Rating	Financial Sector Regulator#
Ascent Alpha April 2026	Series A1 PTCs	May 11, 2026	8.50%	May 12, 2028	133.68	[ICRA]AA+(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not Applicable

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ABOUT ICRA LIMITED

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Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

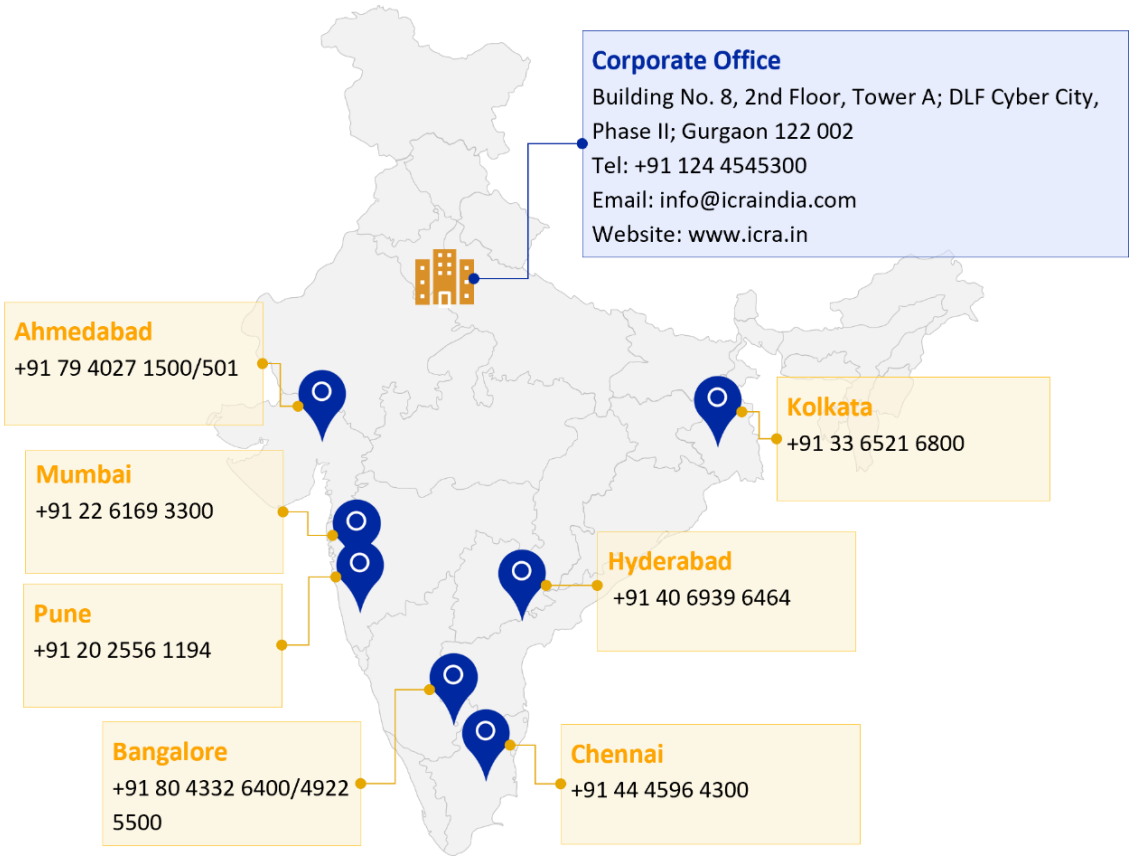
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